

Section : Accountancy Core

Q.1 Under which Section & Act, the Central Government is empowered to prescribe a maximum number of partners in a partnership firm?

1. Section 464 of the Companies Act 1932
2. Section 464 of the Companies Act 2013
3. Section 4 of the Companies Act 2013
4. Section 4 of the Companies Act 1932

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Select the INCORRECT statement from the below given statements :-

1. Nominal Share Capital is a part of Authorized Share Capital
2. Un-issued Share Capital is a part of Authorized Share Capital
3. Un-Subscribed Share Capital is a part of Issued Share Capital
4. Called up Share Capital is a part of Subscribed Share Capital

Options 1. 1

2. 2
3. 3
4. 4

Q.3 At the time of admission of a partner, undistributed profits appearing in the balance sheet of the old firm is transferred to the capital account of:

1. old partners in old profit sharing ratio
2. all the partner in the new profit sharing ratio
3. old partners in new profit sharing ratio
4. old partner in the sacrificing ratio

Options 1.

1. 1
2. 2
3. 3
4. 4

Q.4 Anupam and Abhishek are partners. Their capital accounts showed balances of Rs. 1,50,000 and Rs. 2,00,000 respectively on April 01, 2019. Show the interest on capital for the year ending March 31, 2020 allowed, If the partnership deed provides for interest on capital @ 8% p.a. and the firm earned a profit of Rs. 14,000 during the year:

1. 20,000
2. 28,000
3. 26,000
4. 14,000

Options 1. 1

2. 2
3. 3
4. 4

Q.5 Which among the following is not the feature of a fixed capital method by which the capital accounts of partners can be maintained?

1. Under this method, two separate accounts are maintained for each partner, viz., 'capital account' and 'current account'.
2. Drawings, salary, interest on capital, etc. are posted (transferred) in the current accounts and not in the capital accounts.
3. The capital account shows debit balance.
4. The capital account balance remains unchanged unless there is an addition to or withdrawal of capital.

Options 1. 1

2. 2

3.
3

4. 4

Q.6 The books of a business showed that the firm's capital employed on December 31, 2015, is Rs. 5,00,000 and the profits for the last five years were: 2011-Rs. 40,000; 2012-Rs. 50,000; 2013-Rs. 55,000; 2014- Rs.70,000 and 2015-Rs. 85,000. Find out the normal profits of the business, given that the normal rate of return is 10%.

1. Rs. 70,000
2. Rs. 35,000
3. Rs. 50,000
4. Rs. 60,000

Options 1. 1

2. 2

3.
3

4. 4

Q.7 Match List-I with List-II

List-I,	List-II
Type of Debenture	Explanation

(A) Secured Debentures	(I) These debentures do not have a specific charge on the assets of the company.
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(B) Irredeemable Debentures	(II) These debentures are those which are payable on the expiry of the specific period either in lump sum or in installments during the lifetime of the company.
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(C) Unsecured Debentures	(III) It refers to those debentures where a charge is created on the assets of the company for the purpose of payment in case of default.
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(D) Redeemable Debentures	(IV) These debentures are repayable on the winding-up of a company or on the expiry of a long period.
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Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (II), (C) - (I), (D) - (IV)

Options 1. 1

2.
2

3. 3

4. 4

Q.8 Which Factor does not Affect the Value of Goodwill-

1. Nature of business
2. Market situation
3. Location and Address of Partners
4. Efficiency of management

Options 1. 1

2. 2

3.
3

4. 4

Q.9 The minimum guaranteed amount shall be paid to the new partner when his share of profit as per the profit sharing ratio:

1. is more than the guaranteed amount

- 2.is less than the guaranteed amount
- 3.is equal to the guaranteed amount
- 4.is not guaranteed by anyone

Options 1. 1

- 2.
- 2
- 3. 3
- 4. 4

Q.10 Select the TRUE statement related to the issue/re-issue of equality shares.

- 1.Equity Shares canit be issued at Discount
- 2.Equity Shares can be re issued at Discount
- 3.Equity Shares cannot be issued at premium
- 4. Equity Shares cannot be re-issued at premium.

Options 1.

- 1
- 2.
- 2
- 3. 3
- 4. 4

Q.11 A partnership deed usually doesn't contain the following details:

- 1. Name and address of all the partners
- 2. Profit and Loss Sharing Ratio
- 3. Mode of auditor's appointment
- 4. The date of dissolving the partnership firm

Options 1. 1

- 2. 2
- 3. 3
- 4.
- 4

Q.12 Which account is debited for Realisation expenses paid?

- 1. Realisation Account
- 2. Bank Account
- 3. Revaluation Account
- 4. Realisation expense Account

Options 1.

- 1
- 2. 2
- 3. 3
- 4. 4

Q.13 Which of the following is the feature of fluctuating capital-

- 1. Under this method, two separate accounts are maintained for each partner, viz., 'capital account' and 'current account'.
- 2. Each partner has one account, i.e. capital account under this method
- 3. Each partner has one account, i.e. current account under this method
- 4. The capital account balance remain unchanged unless there is addition or withdrawal of capital.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.14 On the admission of a new partner, an increase in the value of assets is debited to:

- 1. Profit and Loss Adjustment account
- 2. Assets account
- 3. Old partner's capital account
- 4. New Partner Capital Account

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Mohan and Shyam are partners in a firm. Which statement among the below can be claimed valid if the Partnership Agreement is silent regarding the same.

1. Mohan is an active partner. He wants a salary of Rs. 10,000 per year.
2. Shyam had advanced a loan to the firm. He claims interest of @ 10% per annum.
3. Mohan contributed Rs. 20,000 and Shyam Rs. 50,000 as capital. Mohan wants an equal share in profits.
4. Shyam wants interest on capital to be credited @ 6% per annum.

Options 1. 1

2. 2
3. 3
4. 4

Q.16 All assets (except cash/bank and fictitious assets) are transferred to the side of Account.

1. Debit/Capital
2. Credit/Capital
3. Realization/Capital
4. Debit/Realization

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Which statements among the following are CORRECT?

- (A) A public company's shares are generally transferable.
- (B) Share application account is a personal account.
- (C) The director of a company may be a shareholder.
- (D) Paid up capital can exceed called up capital.

Choose the correct answer from the options below:

1. (A), (B) and (C) only
2. (A), (B) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.18 The following are the features of a Company:

- (A) Separate Legal Entity
- (B) Unlimited Liability
- (C) Perpetual Succession
- (D) Common Seal

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.19 In case of the dissolution of a firm, the firm ceases to conduct business and has to settle its accounts. Arrange in the correct manner and order the assets of the firm, including any sum contributed by the partners to make up for deficiencies of capital:

- (A) In paying to each partner proportionately what is due to him on account of capital

- (B) In paying the debts of the firm to the third parties
(C) In paying each partner proportionately what is due to him/her from the firm for advances as distinguished from capital (i.e. partner's loan)
(D) The residue, if any, shall be divided among the partners in their profit sharing ratio

Choose the correct answer from the options given below:

1. (B), (C), (A), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.20 On the dissolution of a firm, the Creditors are transferred to

1. Realization Account
2. Bank Account
3. Cash Account
4. Partner's capital Account

Options 1. 1

2. 2
3. 3
4. 4

Q.21 In which order, the following types of share capital are shown in the balance sheet of a company?

- (A) Subscribed Capital
- (B) Called up Capital
- (C) Issued Capital
- (D) Authorized Capital

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (D), (C), (A), (B)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.22 A partnership firm is dissolved compulsorily in the following cases:

- (A) When all the partners or all but except one partner, become insolvent, rendering them incompetent to sign a contract;
- (B) When the business of the firm becomes illegal.
- (C) Change in existing profit sharing ratio among partners.
- (D) When some event has taken place which makes it unlawful for the partners to carry on the business of the firm in partnership, e.g., when a partner who is a citizen of a country becomes an alien enemy because of the declaration of war with his country and India.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.23 Aashish withdrew Rs. 10,000 per month from the firm for his personal use during the year ending March 31, 2017.

What will be the amount of interest if the amount is withdrawn at the beginning of each month and rate of interest on drawings is 8% per

annum?

1. Rs. 4,800.
2. Rs. 5,000.
3. Rs. 5,200.
4. Rs. 4,200.

Options 1. 1

2. 2
3. 3
4. 4

Q.24 Shares can be forfeited :

1. for non-payment of call money
2. for failure to attend meetings
3. for failure to repay the loan to the bank
4. for which shares are pledged as a security

Options 1. 1

2. 2
3. 3
4. 4

Q.25 Rohit and Mohit are partners in a firm sharing profits in the ratio of 5:3. They admitted Bijoy as a new partner for $\frac{1}{7}$ th share in the profit. The new profit sharing ratio will be 4:2:1. What will be the sacrificing ratio of Rohit and Mohit?

1. 3:5
2. 2:5
3. 3:6
4. 4:7

Options 1. 1

2. 2
3. 3
4. 4

Q.26 At the time of admission of a new partner, general reserve appearing in the old balance sheet is transferred to:

1. All partner's capital account
2. New partner's capital account
3. Old partner's capital account
4. Neither old nor new partner's account

Options 1. 1

2. 2
3. 3
4. 4

Q.27 A company has issued 10% Debentures of Face Value of Rs. 5,00,000 as Collateral Security against Rs. 6,00,000, 12% Bank Loan. What amount of total interest will be paid by company for the whole year :-

1. Rs. 1,22,000
2. Rs. 50,000
3. Rs. 72,000
4. No interest will be paid.

Options 1. 1

2. 2
3. 3
4. 4

Q.28

Jain and Co. purchased a machine from Young Life Machine Limited for Rs. 3,80,000. As per the purchase agreement, Rs. 20,000 were paid in cash and balance by issue of shares of Rs. 100 each. How many shares are issued if the shares are issued at 20% premium.

1. 3600
2. 3200
3. 3000

4. 3800

Options 1. 1

2. 2

3. 3

4. 4

Q.29

Perpetual Debentures are also known as :-

1. Non-Convertible Debentures
2. Unsecured Debentures
3. Registered Debentures
4. Irredeemable Debentures

Options 1. 1

2. 2

3. 3

4. 4

Q.30 The important methods of valuation of goodwill are as follows:

- (A) Average Profits Method
- (B) Normal Profits Method
- (C) Super Profits Method
- (D) Capitalization Method

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.31 Keshav, Nirmal and Pankaj are partners sharing profits and losses in the ratio of 4 : 3 : 2. Nirmal retires and the goodwill is valued at Rs. 72,000. Keshav and Pankaj decided to share future profits and losses in the ratio of 5 : 31. Gaining Ratio of Keshav and Pankaj is:

1. 13/24:11/24
2. 7/12:5/12
3. 11/24:13/24
4. 5/12:7/12

Options 1. 1

2. 2

3. 3

4. 4

Q.32 What is the nominal share capital?

1. The amount actually paid by the shareholders
2. The maximum amount of share capital which a company is authorised to issue.
3. The amount of capital which is actually applied for by the prospective shareholders.
4. That part of the authorized capital which is issued by the company.

Options 1. 1

2. 2

3. 3

4. 4

Q.33 If there are some accumulated losses in the form of a debit balance of profit and loss account appearing in the balance sheet of the firm. It should be transferred to:

1. The old partners' capital accounts.
2. The new partners' capital accounts.
3. All partners' capital accounts.

4. Not to any partners' capital accounts.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.34 Discount allowed on re-issue of forfeited shares, will be :-

- 1. Debited to the 'Discount on issue of Share Account'
- 2. Credited to the 'Share Forfeiture Account'
- 3. Credited to the 'Discount on issue of Share Account'
- 4. Debited to the 'Share Forfeiture Account'

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.35 A business has earned average profits of Rs. 1,00,000 during the last few years and the normal rate of return for a similar business is 10%. Ascertain the value of goodwill by capitalization of average profits method, given that the value of net assets of the business is Rs. 8,20,000.

- 1. Rs. 1,75,000
- 2. Rs. 1,80,000
- 3. Rs. 1,90,000
- 4. Rs. 1,85,000

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.36 A company maintains 'Calls in Arrears' Account. What entry will it be passed on receiving first call money provided whole amount due in it is not received :-

- 1. Bank A/c Dr. Calls in Arrears A/c Dr. To Share First Call A/c
- 2. Bank A/c Dr. To Calls in Arrears A/c To Share First Call A/c
- 3. Calls in Arrears A/c Dr. To Share First Call A/c
- 4. Share First Call A/c Dr. To Calls in Arrears A/c

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.37 Unrecorded liabilities when paid are shown in:

- 1. Debit of Realisation Account
- 2. Debit of Bank Account
- 3. Credit of Realisation Account
- 4. Debit of Revaluation Account

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.38 When realisation expenses are paid by the firm on behalf of a partner, which account will be debited :

- 1. Realisation Account
- 2. Partner's Capital Account
- 3. Partner's Loan Account
- 4. Revaluation Account

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.39 The maximum amount of discount on the re-issue of forfeited shares will be :-

1. The amount already called up at the time of forfeiture.
2. The amount of calls in arrear at the time of forfeiture.
3. The amount of calls in advance at the time of forfeiture.
4. The amount already received at the time of forfeiture.

Options 1. 1

2. 2
3. 3
4. 4

Q.40 If the partnership deed is silent on interest on capital, then:

1. No interest on capital is payable
2. Interest on capital is only paid to partner contributing more capital.
3. Interest on capital is paid equally to all partners
4. Interest on capital is paid @ 6% p.a.

Options 1. 1

2. 2
3. 3
4. 4

Q.41 The business of a partnership firm may be carried on by all the partners or any of them acting for all.
Identify the feature of the partnership indicated by the above statement.

- A. Sharing of profits
- B. Agreement
- C. Business
- D. Mutual Agency

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Arrange the steps for calculating Goodwill under the Capitalisation of Average Profits Method in the correct sequence-

- (A). Ascertain the actual firm's capital (net assets) by deducting outside liabilities from the total assets.
- (B). Compute the value of goodwill by deducting net assets from the capitalised value of average profits.
- (C). Ascertain the average profits based on the past few years' performance.
- (D). Capitalize the average profits on the basis of the normal rate of return to ascertain the capitalised value of average profits.

Choose the correct answer from the options given below:

- 1.(D),(B),(C),(A)
- 2.(B),(C),(D),(A)
- 3.(B),(A),(D),(C)
- 4.(C),(D),(A),(B)

Options 1. 1

2. 2
3. 3
4. 4

Q.43 A, B and C are partners in a firm. If D is admitted as a new partner then:

1. Old Firm is Dissolved
2. Old Partnership firm is Dissolved
3. The Old Firm and Old Partnership are both Dissolved
4. Old Partnership is Reconstituted

Options 1. 1

2. 2
3. 3

- Q.44** Which combination of statements is true about dissolution-
- (A). Dissolution of a partnership is different from dissolution of a firm.
 - (B). A partnership is dissolved when there is a death of a partner.
 - (C). A firm is dissolved when all partners give consent to it.
 - (D). A firm is compulsorily dissolved when a partner decides to retire.
- Choose the *correct* answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (B), (C) and (D) only
- 4. (B) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

- Q.45** Arrange the important steps in the correct sequence in the procedure of share issue:

- (A) Receipt of Applications
- (B) Allotment of Shares
- (C) Listing of Shares on the Stock Exchange
- (D) Issue of Prospectus

Choose the *correct* answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (B), (D), (C)
- 3. (D), (A), (B), (C)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Section : Analysis of Financial Statements

- Q.46** If the net profits earned during the year is Rs. 50,000 and the amount of debtors at the beginning and the end of the year is Rs. 10,000 and Rs. 20,000 respectively, then the cash from operating activities will be equal to:

- 1. Rs. 60,000
- 2. Rs. 50,000
- 3. Rs. 40,000
- 4. Rs. 20,000

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

- Q.47** Which among the following is NOT TRUE about the financial statement ?

- 1. The financial statements of a business enterprise include cash flow statement
- 2. Common size statements and financial ratios are the two tools employed in vertical analysis.
- 3. Comparative statements are in the form of horizontal analysis.
- 4. Financial analysis is used only by the creditors.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

- Q.48** Calculate the Current Ratio from the following information:

Particulars	(Rs.)
Inventories	50,000
Trade receivables	50,000
Advance tax	4,000
Cash and cash equivalent	30,000

Trade payables	1,00,000
Short-term borrowings (bank overdraft)	4,000

1. 1.24 : 1
2. 1.33 : 1
3. 1.29 : 1
4. 1.19 : 1

Options 1. 1

2. 2
3. 3
4. 4

Q.49 The net profits made during the year are Rs. 50,000. Machine purchased during the year was for Rs 40,000 and non current investment sold were for Rs 1,00,000. Then during the year the cash flow from Investing activities will be equal to:

1. Rs. 60,000
2. Rs. 50,000
3. Rs. 1,40,000
4. Rs. 1,50,000

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Match List-I with List-II

List-I

List-II

(A). Liquidity Ratio

(I). Receivable Turnover Ratio

(B). Solvency Ratio

(II). Quick Ratio

(C). Activity (or Turnover) Ratio

(III). Earning Per Share Ratio

(D). Profitability Ratio

(IV). Debt to Equity Ratio

Choose the correct answer from the options given below:

1. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)
2. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
3. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
4. (A) - (II), (B) - (IV), (C) - (I), (D) - (III)

Options 1. 1

2. 2
3. 3
4. 4

Section : Computerized Accounting Systems

Q.51 What happens when you select "Warning" style in the Error Alert tab?

1. It stops invalid data from being entered
2. It displays a warning but allows invalid data entry
3. It ignores invalid data entry silently
4. It deletes the invalid data entered

Options 1. 1

2. 2
3. 3
4. 4

Q.52 What is the maximum number of columns that a data validation form in Excel can display?

1. 10
2. 20
3. 32
4. 50

Options 1. 1

2. 2
3. 3

Q.53 A _____ is a range of cells that shows the results of substituting different values in one or more formulas.

1. Data Validation
2. Data Table
3. Cell Address
4. Cell Area

Options 1. 1

2. 2
3. 3
4. 4

Q.54 _____ feature allows us to create a cross tabulation summary of data in which heading can subsequently moved to give different views of the data.

1. Pivot Table
2. Data Table
3. Data Cells
4. Print Area

Options 1. 1

2. 2
3. 3
4. 4

Q.55 Doughnut charts:

- (A) Contains More than one data series
- (B) Comparable with Pie Chart
- (C) Comparable with bar graph
- (D) Comparable with Line Chart

Choose the *correct* answer from the options given below:

1. (A) only
2. (D) only
3. (A) and (B) only
4. (A), (B) and (C) only

Options 1. 1

2. 2
3. 3
4. 4